HARROW PRECISION ENGINEERING LIMITED

(Company number 04127765)

MINUTES of a meeting of the board of directors held at Brunel Works, Tame Valley Industrial Estate, Tamworth B77 5DQ on 24 April 2025 at 10.00 a.m.

Present

Daniel Harrow (Managing Director, Chair); Rebecca Lund (Finance Director); Martin Calloway (Quality & Production Director). In attendance: Naomi Patel (Company Secretary); James Osei (Whitfield Carter LLP, by invitation, for item 3).

1. Quorum and notice

The Chair confirmed that due notice of the meeting had been given and that a quorum was present. The meeting proceeded to business.

2. Declarations of interest

No director declared any interest in the matters to be considered under the Companies Act 2006 or the Company's articles of association.

3. Proposed Supply Agreement with Stratton Energy plc

The Chair reported on the proposed five-year strategic supply agreement with Stratton Energy plc for the supply of HX-Series centrifugal pumps, packaged pump sets, spares and field service across Stratton's UK generating sites, following the Company's success in Stratton tender SE/PROC/2024/318.

Mr Osei summarised the principal commercial terms of the final form of agreement, including: an initial term of five years with automatic 12-month renewals; a minimum annual purchase commitment by Stratton of £3,200,000 (with a 15% shortfall payment); volume discounts of 5%/8%/11%; prices fixed in Year 1 with an annual index-linked review capped at 4%; 45-day payment terms; a 24-month product warranty; on-time delivery liquidated damages of 0.5% per week capped at 7.5%; and an aggregate liability cap of 125% of trailing 12-month charges, with a 200% sub-cap on the IP infringement indemnity.

The board reviewed the final form of the Supply Agreement and the schedules circulated with the agenda, together with the negotiation summary prepared by Whitfield Carter LLP. The Finance Director confirmed that the commitment and pricing terms were consistent with the Company's capacity plan and that the buffer-stock and 10-year spares commitments had been factored into operational planning.

4. Resolutions

IT WAS RESOLVED that:

1 the entry by the Company into the Supply Agreement with Stratton Energy plc, substantially in the form reviewed by the board, be and is hereby approved;

2 the terms of the Supply Agreement are in the best interests of the Company and are likely to promote the success of the Company for the benefit of its members as a whole;

3 Rebecca Lund, Finance Director, be and is hereby authorised to execute the Supply Agreement and any ancillary documents for and on behalf of the Company; and

4 the Company Secretary be instructed to arrange for the agreement to be dated and filed and for completion to be effected.

5. Close

There being no further business, the Chair declared the meeting closed at 10.40 a.m.

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Daniel Harrow — Chair